COMPETITION AND MARKETS AUTHORITY

Initial Enforcement Order

made under section 72(2) of the Enterprise Act 2002

Case ME/7104/25 — Completed acquisition by Pennington Industries Limited of Halworth Pump Systems Limited

Date of Order: 16 December 2025

1. Introduction and power

1.1 The Competition and Markets Authority (the "CMA") is considering, pursuant to its duty under section 22 of the Enterprise Act 2002 (the "Act"), whether it is or may be the case that a relevant merger situation has been created and, if so, whether the creation of that situation has resulted, or may be expected to result, in a substantial lessening of competition.

1.2 On 30 September 2025 Pennington Industries Limited ("Pennington") acquired the entire issued share capital of Halworth Pump Systems Limited ("Halworth") (together, the "Parties"). The acquisition has completed.

1.3 To prevent pre-emptive action, the CMA hereby makes this Initial Enforcement Order (the "Order") under section 72(2) of the Act. This Order takes effect immediately and applies to Pennington and to each of its subsidiaries and to Halworth and each of its subsidiaries (together, the "Pennington Group").

2. Requirements of the Order

2.1 Except with the prior written consent of the CMA, the Pennington Group shall not take any action which might prejudice a reference under section 22 of the Act or impede the taking of any remedial action following such a reference.

2.2 Without prejudice to the generality of paragraph 2.1, except with the prior written consent of the CMA the Pennington Group shall not, in relation to Halworth: (a) transfer ownership or control of Halworth or any of its assets; (b) integrate Halworth's business with the business of the Pennington Group; (c) transfer, re-deploy or make redundant any Key Staff; or (d) acquire, dispose of or transfer any material assets of Halworth otherwise than in the ordinary course of business.

2.3 Pennington shall procure that Halworth is carried on as a going concern and maintained as a distinct and separate business, and shall preserve the operational and competitive capability, viability and saleability of Halworth.

2.4 Pennington shall hold separate, and shall procure that Halworth holds separate, all commercially sensitive information of Halworth from the rest of the Pennington Group, save to the extent permitted by a derogation granted in writing by the CMA.

2.5 Pennington shall, within ten working days of the date of this Order, appoint a Hold Separate Manager to manage Halworth independently, and shall notify the CMA of the proposed appointee.

3. Compliance and consequences of breach

3.1 Pennington shall provide to the CMA a signed statement of compliance with this Order at intervals required by the CMA, the first such statement to be provided within 14 days of the date of this Order.

3.2 The CMA may by notice in writing grant derogations from the requirements of this Order. A request for a derogation must set out the action proposed, the reasons for it, and why it will not prejudice a reference or remedial action.

3.3 Failure to comply with this Order without reasonable excuse may result in the imposition of a penalty under section 94A of the Act of up to 5% of the aggregate worldwide turnover of the Pennington Group.

4. Interpretation, duration and variation

4.1 In this Order, “Key Staff” means those individuals employed or engaged by Halworth whose departure would be likely to have a material adverse effect on the operational or competitive capability of Halworth, and includes the senior management and the principal engineering, sales and applications personnel of the Aqualis business.

4.2 This Order shall remain in force until it is varied or revoked by the CMA. The CMA keeps the requirements of this Order under review and will revoke or vary the Order where appropriate.

Signed by authority of the Competition and Markets Authority

A. Renton
Director, Mergers
Competition and Markets Authority
16 December 2025